

The Wealth Effect HITS INDIA

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■ By Dilip Bobb

Whenever you take a step forward, you are bound to disturb something. You disturb the air as you go forward, you disturb the dust, the ground. You trample upon things. When a whole society moves forward, this trampling is on a much bigger scale; and each thing that you disturb, each vested interest which you want to remove, stands as an obstacle.

—Mahatma Gandhi

Prescient as always, the Great Soul described the year to perfection. Disturbances there were, as was the step forward, and the obstacles but those that defined India more clearly than ever before. Spreading affluence may have been the dominant theme as economic growth created an unprecedented number of millionaires and fuelled new levels of consumer spend, but it was starkly offset by the tragic number of farmers' suicides and the growing rich-poor divide, reinforcing the message that in a free market economy there are no free rides. By 2007, areas of rapid change and those where very little has changed for centuries merely brought out the contrast and contradictions in much sharper relief.

Yet, the feel-good factor not only refused to abate but registered a sharp spike as growth and reform combined to unleash a new wave of pros-

perity. India Rising was the slogan we should have picked instead of India Shining, said L.K. Advani, but both were pretty much in evidence. Affluence has never been as democratic with salaries going sharply northwards and entrepreneurs reaping richer rewards from a booming marketplace embellished with high-end luxury goods and services. 2007 was a year when India fast forwarded to a new level of conspicuous consumption, driven by a wider-based economy and a stock market that provided record returns. And, with newer industries and services starting up, a new lot of entrepreneurs was born. The result is what marketers call the Wealth Effect. Showrooms that once stocked 21-inch television sets now only display large screen LCD (liquid crystal display) or plasma televisions that start at Rs 1 lakh plus. There were other ways in which the Wealth Effect played out:

■ Global luxury brands set up shop in India in unprecedented numbers making brands the story of the year. Handbags from Gucci and Prada, sunglasses from Bulgari, shoes from Sergio Rossi, Tod's and Jimmy Choo, or designer outfits from Armani, Robert Cavalli and Moschino, the list kept expanding. Industry estimates say that some 250 international luxury brands are eyeing the Indian market, worth Rs 2,400 crore already and growing at 30-32 per cent.

The onslaught of global luxury brands reached a crescendo with the high-end market now worth around Rs 2,500 crore

